

Meta Platforms, Inc.

META NASDAQ

Buy	\$574.25 ▼ 0.65%	12M Price Target \$685.00	52-Week Range \$520.26 – \$790.80	Market Cap \$1.46T
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META: Stuck in Neutral as AI Capex Fears Meet India Scandal

WHAT HAPPENED

- META slipped 0.65% on a day when tech was basically flat — the real story is Goldman's "AI capex shocker" note, which is Wall Street code for "these hyperscalers are about to spend WAY more than we thought on AI infrastructure." Translation: investors are worried Meta's already-massive AI spending is going even higher, which crushes near-term profits even if it pays off later.
- India cracked down on 39 scam ads running on Meta's platforms — small on its own, but it plays into a bigger narrative that regulators worldwide are getting more aggressive about ad content policing, which means higher compliance costs.

WHY IT MATTERS

Here's what I think is really going on: META is stuck at the bottom 20% of its 52-week range (\$520-\$790) because the market is having an existential crisis about AI spending. Every hyperscaler (Meta, Google, Microsoft, Amazon) is pouring tens of billions into GPUs and data centers, and Wall Street can't yet see the revenue payoff — so they're punishing the stock. But here's the inference: the OpenAI news today (ChatGPT ads hit \$1B run rate) is actually a shot across Meta's bow — it proves AI-powered advertising works, which is EXACTLY what Meta's been building toward with their Llama models and AI-driven ad targeting. If Meta can prove their AI investments juice ad revenue in the next 2 quarters, this stock re-rates hard. The insider selling from the CFO is a yellow flag but not a red one — executives sell for tax and diversification reasons all the time, and options flow is screaming bullish (put/call at 0.47 means traders are betting 2-to-1 on upside).

POLICY & POLITICAL WATCH

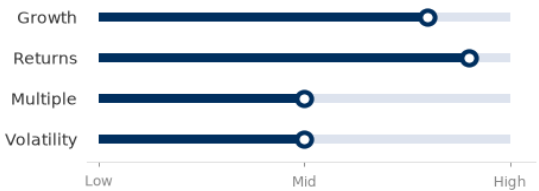
The big overhang is the FTC — that Amazon ad-practices lawsuit today is a reminder that the Lina Khan-era antitrust playbook is still alive under the current administration, and Meta's own FTC monopoly case is grinding through appeals. On the positive side, the Trump admin has been notably friendlier to Big Tech on AI regulation (rolling back Biden's AI executive order), which lets Meta move faster on Llama and AI products without heavy compliance costs. Watch the KIDS Online Safety Act (KOSA) — if it passes, Meta faces new liability for teen users, but they've already invested heavily in age verification, so it could actually be a moat against smaller competitors like Snap and TikTok.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$574.25
12M Price Target	\$685.00
Upside / (Downside)	+19.3%
Market Cap	\$1.46T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$26.50
FY2027E EPS	\$31.00
Fwd P/E	21.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$610.00	\$580.00	\$540.00
6 Months	\$720.00	\$640.00	\$500.00
1 Year	\$820.00	\$685.00	\$480.00
2 Years	\$950.00	\$780.00	\$450.00
5 Years	\$1400.00	\$1000.00	\$400.00
10 Years	\$2200.00	\$1500.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2%) as oil catches a bid on Middle East tension and data center power demand — remember, all this AI capex needs electricity. Tech still up 3.2% on the week despite today's flat action.

COOLING OFF: Consumer Staples and Healthcare both down as money rotates OUT of defensives into growth — that's usually bullish for names like META.

ROTATION WATCH: Money is quietly moving from mega-cap defensives into anything AI-adjacent, but WITHIN tech, investors are getting picky — they want AI companies with proven revenue, not just capex stories. Meta needs to prove it's in the first bucket.

RELATED PLAY: If you believe the AI capex boom continues, the picks-and-shovels plays win — Vertiv (VRT) for data center cooling, or utilities exposed to data center demand like Constellation Energy (CEG).

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Winning the AI narrative right now because Gemini is showing real product traction and their cloud business is monetizing AI faster than Meta's consumer apps
- NFLX (Netflix): That 24/7 Wall St article comparing them isn't random — Netflix is up because ad-tier subscribers are exploding, taking ad dollars that might otherwise go to Meta

META CONTEXT: META is LAGGING its peer group right now — at 20% of its 52-week range while GOOGL and MSFT are closer to highs. That's actually the setup value investors dream about: same fundamentals, worse sentiment, cheaper price. Historically, when Meta gets left behind in a tech rally, it snaps back hard once one catalyst hits (earnings beat, AI product launch, or capex clarity).

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$540-560 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Ad revenue growth drops below 10% or AI capex exceeds \$150B with no monetization proof

Hedging: Small put position or pair against GOOGL (similar ad exposure, less AI capex burden)